A.D. & J.E. DAVIS
STUDENT INVESTMENT MANAGEMENT GROUP

Mondelez

By the Defensive Sector

Shreesh Bastakoti

Hold

Price: $59.32

Fair Market: $77

1-Year Price Target: $77 Industry: Confectioners

P/E	EV/EBITDA	Market Cap	52 Week
21.81x	15-16x	75.71B	High: $66.65 Low: $51.2

Security Description

- International food company brands including chips Ahoy, Cadbury, Toblerone, etc.
- Large global distribution network sells out of grocery stores, convenience stores, and supermarkets - Operates in Europe, Latin America, and North America
- Strong competitive advantages: brand recognition, extensive distribution, large scale
- Input costs: wheat, dairy, cocoa, and packaging and transportation costs

Earnings Review

- Revenue increased to $39.68B, up 6.93% based on June 2026 data
- Net income increased to $3.52, compared to $2.45B in 2025
- EBITA increased to $5.81B, compared to $4.65B in 2025
- Free cash flow is at $4.10B, which provides the capacity for buybacks, dividends, and reinvestments
- Morningstar increased its Fair Value estimates from $75 to $77 following Mondelez's second-quarter results
- Management continues to focus on balancing sales growth and profitability while managing the increasing costs of cocoa

Valuation

- MDLZ trades at 21.81x P/E, which reflects the premium investors' place on its established global brands and defensive demands
- MDLZ currently trades at $59.32 versus its $77 fair value, which creates an approximate 30% upside to fair value based on valuation
- Revenue has continued to grow to $39.68B, and EBITDA increased to $5.81B, which indicates an improvement in operating performance
- The Free Cash Flow being at $4.10B supports dividends, buybacks, and company reinvestment
- Our view: This current valuation appears attractive because the market price is significantly below the fair value estimate. MDLZ's strong cash flow also makes it an attractive pick.

Forward Outlook

- Mondelez targets 3-5% long-term sales growth; this is supported by brand investment, innovation, and distribution expansion
- Cost-reduction initiatives, which include supply chain optimization and automation, could help improve margins
- Continued brand investments also support future growth

- In the near term, cocoa prices remain a concern, but lower commodity prices could eventually provide margin upside
- Our view: these reasons provide a reasonable path for Mondelez to reach its $77 fair value

Risks

- Inflation: higher costs for inputs, labor, and transportation can decrease margins
- Commodity prices: cocoa, sugar, dairy, and wheat affect production costs- especially cocoa prices have increased significantly
- Competition: other large companies in the industry make it competitive
- Regulation: regulations for sugar, nutrition standards, advertising, and taxes can increase costs
- Supply chain disruptions: transportation issues, weather, and geopolitical issues can affect ingredient availability and cost
- Sensitivity to foreign exchange since much revenue is generated internationally – about 70% of revenue from outside the U.S.
- Health Trends: Increased use of anti – obesity medications could reduce demand
- Debt: Total debt was $22.06B versus $1.72B in cash as of June 2026